# Comments on the Proposed PBM Fee Disclosure Rule

*Submitted to the U.S. Department of Labor, Employee Benefits Security Administration*

RIN 1210-AB37 · 91 FED. REG. 4348 (JAN. 30, 2026) · SUBMITTED APRIL 14, 2026

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| SUBMITTED BY | Sean Schantzen, Executive Director, Nautilus Health Institute |
| RECOMMENDS | (1) A safe harbor for fiduciaries who proactively select PBMs with fiduciary-aligned contract terms; (2) coverage harmonized with CAA 2026; (3) transaction-level data in machine-readable formats; (4) no contractual limits on PBM accountability for disclosures |
| STATUS | Reproduced as filed, on the proposed rule. DOL issued the final rule on October 29, 2026 (29 CFR 2550.408b-22). For what the final rule requires, see the Fiduciary Action Checklist |
| ONLINE | nautilushealth.org/PBM · contractxray.com |

Office of Regulations and Interpretations
Employee Benefits Security Administration
Room N-5655, U.S. Department of Labor
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Washington, DC 20210

**Re: Improving Transparency Into Pharmacy Benefit Manager Fee Disclosure**
RIN 1210-AB37 | 91 Fed. Reg. 4348 (Jan. 30, 2026)

## I. Introduction and Summary

Nautilus Health Institute (Nautilus) appreciates the opportunity to comment on the Department's proposed regulation requiring providers of pharmacy benefit management services to disclose compensation information to fiduciaries of self-insured group health plans.

We strongly support this proposed rule as an essential step toward transparency in PBM contracting. The disclosure requirements address longstanding concerns about the opacity of PBM compensation arrangements and will provide responsible plan fiduciaries with information necessary to assess the reasonableness of service contracts under ERISA section 408(b)(2).

We write to offer four recommendations we believe would strengthen the rule's effectiveness: (1) extending the administrative class exemption to recognize proactive selection of PBMs with fiduciary-aligned contractual commitments as an alternative path to safe harbor protection; (2) extending the rule's coverage to harmonize with the all-provider expansion already enacted in CAA 2026 §6702; (3) requiring meaningful fiduciary access to transaction-level data in standardized, machine-readable formats; and (4) clarifying that PBMs may not contractually limit their accountability for the accuracy of disclosures required under this rule.

Since the publication of the proposed rule, the Consolidated Appropriations Act of 2026 (P.L. 119-75) has been enacted, creating new statutory requirements for PBM fee disclosure, reporting, and audit independence under ERISA §408(b)(2)(B). The enacted provisions strengthen the case for the proactive safe harbor extension we recommend below.

## II. Support for the Proposed Rule

The proposed rule's disclosure requirements are well-designed to address the information asymmetries that have long hindered responsible plan fiduciaries in evaluating PBM arrangements. We particularly support:

**Comprehensive compensation disclosure** including manufacturer payments, spread pricing, pharmacy clawbacks, and administrative fees (proposed paragraphs (e)(3)-(7));

**Semiannual reporting** to enable ongoing monitoring of actual compensation against initial disclosures (proposed paragraph (g));

**Audit rights** that permit plan fiduciaries to verify the accuracy of disclosures without PBM-imposed restrictions (proposed paragraph (j)); and

**The administrative class exemption** for responsible plan fiduciaries who take corrective action upon discovering non-compliance (proposed paragraph (n)).

These provisions will meaningfully advance fiduciary oversight of PBM arrangements and we urge the Department to finalize them.

## II-A. Alignment with the Consolidated Appropriations Act of 2026

Since the publication of this proposed rule, Congress has enacted the Consolidated Appropriations Act of 2026 (P.L. 119-75), which includes comprehensive PBM transparency requirements under new ERISA §408(b)(2)(B). We encourage the Department to harmonize the final rule with the enacted statutory provisions, which in several respects exceed the proposed regulatory requirements:

**Statutory definitions.** The CAA 2026 uses the phrase "rebates, fees, alternative discounts, and other remuneration" (§6701) to describe manufacturer revenue subject to reporting. We encourage the Department to adopt this statutory language in the final rule's disclosure requirements to ensure consistent terminology across regulatory and statutory frameworks.

**Audit cost independence.** §6702 prohibits PBMs from paying for, subsidizing, or providing credits or allowances toward audit costs, any portion, directly or indirectly. The proposed rule at paragraph (j) addresses audit rights but requires a 50/50 cost split, meaning the PBM still funds half the audit verifying its own disclosures. We encourage the Department to incorporate the enacted audit cost independence standard into the final rule's audit provisions, eliminating any PBM contribution to audit costs.

**Formulary placement rationale.** §6701 requires PBMs to report on the rationale for formulary placements in which higher-cost drugs receive favorable treatment over lower-cost clinically appropriate alternatives, for drugs where the plan incurred $10,000 or more in gross spending. This reporting requirement provides a verification mechanism for highest-impact formulary decisions that would complement the proposed rule's compensation disclosure requirements.

**Bona fide service fee standard.** ERISA §408(b)(2)(B), as amended by the CAA 2026, requires that PBMs pass through 100% of all rebates, fees, and remuneration to the plan. The only compensation a PBM may retain is bona fide service fees, defined as reasonable payments for actual services that are transparent and quantifiable to the plan. We encourage the Department to reference this statutory standard in the final rule's reasonableness assessment framework.

# III. Recommendation: Extend Safe Harbor to Proactive Selection

## A. The Logic of the Proposed Safe Harbor

The proposed administrative class exemption at paragraph (n) recognizes that responsible plan fiduciaries should not bear liability for a covered service provider's failure to disclose, provided the fiduciary: (1) did not know of the failure; (2) reasonably believed disclosures were made; (3) requested correction upon discovery; and (4) took appropriate action if correction was not forthcoming.

This framework appropriately protects fiduciaries who react prudently to discovered non-compliance. Extending that protection to fiduciaries who proactively prevent non-compliance through contractual commitments is the logical next step.

## B. The Case for Proactive Safe Harbor

The purpose of the disclosure requirements is to enable fiduciaries to identify and address problematic PBM practices. A fiduciary who selects a PBM whose contract prohibits these practices has accomplished the same objective through different means.

Consider a responsible plan fiduciary who selects a PBM with the following contractual commitments:

- 100% pass-through of all manufacturer revenue with no retained rebates
- No spread pricing: the plan is billed only amounts actually paid to pharmacies
- No pharmacy clawbacks, DIR fees, or post-adjudication recoupments
- Unrestricted audit rights including extrapolation and auditor selection, with no PBM payment or subsidization of audit costs **[CAA 2026: §6702 full audit cost independence]**
- Administrative fees constituting bona fide service fees as the sole source of PBM compensation **[CAA 2026: §408(b)(2)(B) alignment]**
- Formulary management based on lowest net cost, with rationale provided for formulary placements favoring higher-cost drugs **[CAA 2026: §6701 verification mechanism for $10,000+ gross spend drugs]**

This fiduciary has done more than assess reasonableness; they have contractually eliminated the risks that disclosure is designed to surface.

**The enactment of the CAA 2026 strengthens this analysis.** Congress has now codified reporting requirements for the same practices that the proposed rule addresses through disclosure. A fiduciary who selects a PBM whose contract prohibits these practices has satisfied both the Department's proposed disclosure framework and Congress's enacted statutory standards.

## C. Emerging Standard of Care for PBM Contract Evaluation

The proactive safe harbor we recommend is a practical, market-tested approach already being adopted across the industry. Employer organizations such as the National Alliance of Healthcare Purchaser Coalitions representing more than 12,000 purchasers and Health Rosetta representing over 10,000 employers representing 5 millions Americans stewarded by 250 accredited benefits advisors are adopting evidence-based frameworks for evaluating PBM contract quality against ERISA's fiduciary duties as the professional standard for what a reasonably prudent fiduciary should evaluate in a PBM arrangement.

These frameworks operationalize ERISA's general fiduciary duties into specific, auditable PBM contract evaluation criteria. Each evaluation criterion traces to a fiduciary obligation under ERISA §404(a) (duties of loyalty and prudence), §406 (prohibited transactions), or §408(b)(2) (reasonable compensation). The criteria are structured, repeatable, and produce documented evidence of the evaluation process, creating the kind of auditable record that demonstrates fiduciary prudence.

The legal parallel is well established. In professional contexts, courts routinely look to widely adopted practice guidelines, professional rules, and customary methods among competent practitioners as evidence of the standard of care, even when those standards originated as voluntary frameworks. Medical practice guidelines, legal rules of professional conduct, and accounting standards all followed this trajectory: developed by practitioners, adopted by professional organizations, and ultimately referenced by courts and regulators as evidence of what competent actors should do.

The Department's recognition of proactive selection as an alternative path to safe harbor protection would align regulatory policy with this emerging professional standard.

## D. Precedent for Proactive Safe Harbors

The Department has previously recognized that proactive fiduciary conduct can establish presumptive compliance with ERISA duties:

- **The qualified default investment alternative (QDIA) safe harbor** (29 CFR 2550.404c-5) provides fiduciary protection for participant investment outcomes based on selection of a qualifying investment vehicle, without requiring ongoing monitoring of individual participant decisions.
- **The automatic rollover safe harbor** (29 CFR 2550.404a-2) provides fiduciary protection based on selection of a provider meeting specified criteria, without requiring transaction-by-transaction review.
- **NEW PRECEDENT DOL's concurrent pension investment safe harbor:** On March 30, 2026, the Department proposed "Fiduciary Duties in Selecting Designated Investment Alternatives," establishing a process-based safe harbor for fiduciaries who follow a structured analytical process when selecting 401(k) investment options. The rule explicitly articulates three core principles: ERISA is grounded in process; fiduciaries have maximum discretion and flexibility in selection; and when a fiduciary's decision-making follows a prudent process, arbiters of disputes should defer with a presumption of prudence. If finalized, a fiduciary who follows the six-factor analytical process is presumed to have met the duty of prudence under §404(a)(1)(B).

This concurrent rulemaking is significant. The Department is not being asked to apply an unfamiliar concept to PBM procurement. It is being asked to apply the same process-based framework it is actively developing in the pension investment context to the analogous fiduciary act of PBM selection. Both are §404(a) decisions. Both involve selecting service providers or investment vehicles whose quality and alignment with participant interests cannot be fully known in advance. Both benefit from a safe harbor that rewards proactive, structured selection over reactive monitoring.

The proposed regulatory language is structured precisely as the pension rule's framework: principles-based, asset-class-neutral in its analog, and focused on the selection process rather than endorsing specific products or terms. The Department's own articulated philosophy, "our rule clearly spells out that managers must evaluate any and all potential product offerings by following a prudent process", is the argument for the PBM proactive safe harbor.

## E. Proposed Regulatory Language

We recommend the Department add the following provision to the final rule:

> *"A responsible plan fiduciary who selects a covered service provider based on contractual commitments that prohibit the compensation practices required to be disclosed under paragraphs (e)(3) through (e)(7) of this section, and that satisfy applicable requirements under ERISA section 408(b)(2)(B) as amended by the Consolidated Appropriations Act of 2026, shall be deemed to have satisfied the reasonable contract or arrangement requirement of this section with respect to such practices, provided that the contract or arrangement includes audit rights sufficient to verify compliance with such commitments, including the auditor independence requirements of section 6702 of the Consolidated Appropriations Act of 2026."*

This language is principles-based rather than prescriptive. It enables the Department to recognize a contractual framework without endorsing specific terms or selecting market winners. It establishes that contractual prohibition of the practices requiring disclosure presumptively satisfies the reasonableness standard while preserving audit rights as the verification mechanism. The language cross-references CAA 2026 directly, creating a unified path between the regulatory safe harbor and enacted statutory standards.

## F. Benefits of the Proactive Approach

**Higher fiduciary standard:** The reactive safe harbor permits fiduciaries to wait until problems surface. The proactive approach requires upfront diligence in contract negotiation and vendor selection.

**Market incentives:** If proactive selection creates safe harbor protection, employers have stronger incentives to demand fiduciary-aligned contract terms, and PBMs have stronger incentives to offer them.

**Reduced compliance burden:** Fiduciaries who select PBMs with contractual prohibitions need not undertake the ongoing monitoring and potential corrective action process required under the reactive framework.

**Participant protection:** Prevention is more protective than correction. Participants benefit more from contracts that prohibit harmful practices than from disclosure that enables after-the-fact identification.

**Statutory alignment:** The proactive safe harbor aligns the Department's regulatory framework with Congress's enacted standards under the CAA 2026, creating a unified compliance path for responsible plan fiduciaries.

**Alignment with DOL's own active regulatory philosophy:** The Department's concurrent pension investment safe harbor (March 30, 2026) articulates that ERISA is grounded in process and that fiduciaries who follow a prudent process should receive a presumption of prudence. The Nautilus proposal applies this philosophy, already in active use in the pension context, to PBM procurement — a §404(a) fiduciary act of equal character.

**Alignment with emerging professional standards:** Employer coalitions and benefits advisors are developing and adopting independent, evidence-based frameworks for evaluating PBM contract quality. Recognizing proactive selection would align the Department's guidance with the professional standard of care already emerging among sophisticated plan fiduciaries.

# IV. Additional Comments

## A. Disclosure Requires Accountability Mechanisms to Drive Results

While we strongly support the disclosure requirements, we observe that disclosure paired with accountability mechanisms delivers its full protective effect. Fiduciaries who discover problematic practices through disclosure need: (1) contractual authority to require correction; and (2) exit rights to terminate arrangements where correction is not forthcoming.

We encourage the Department to address in the final rule or subsequent guidance how responsible plan fiduciaries should evaluate contracts that comply with disclosure requirements but permit the practices disclosed.

## B. Audit Rights Should Be Expansive and Independent

We support the proposed audit rights at paragraph (j) and encourage the Department to clarify that such rights include: access to underlying records (not merely summary reports); the right to extrapolate audit findings to the full claims population; and access to rebate aggregator and affiliated entity arrangements.

We further encourage the Department to incorporate the audit cost independence requirements enacted in §6702 of the CAA 2026, which prohibit PBMs from paying for, subsidizing, or providing credits or allowances toward audit costs — any portion, directly or indirectly. The proposed rule's current 50/50 audit cost split at paragraph (j) creates a structural problem: the PBM still funds half the audit verifying its own disclosures, a weaker standard than Congress has already enacted. An audit partially funded by the entity being audited cannot fully serve fiduciary interests. The Department's final rule should incorporate the §6702 standard and confirm that audit rights under the proposed rule include the full cost independence protections Congress has enacted.

## C. Termination Rights

The effectiveness of both the reactive and proactive safe harbors depends on fiduciary ability to exit non-compliant arrangements. We encourage the Department to address whether responsible plan fiduciaries can satisfy their duty of prudence by continuing arrangements with non-compliant covered service providers where contractual termination provisions impose punitive costs.

## D. Formulary Placement Rationale as Verification Mechanism

The CAA 2026 at §6701 requires PBMs to report on the rationale for formulary placements in which higher-cost drugs receive favorable treatment over lower-cost clinically appropriate alternatives, for drugs where the plan incurred $10,000 or more in gross spending (or the top 50 drugs by gross spend). We encourage the Department to reference this reporting requirement in the final rule and clarify that responsible plan fiduciaries may use the §6701 formulary rationale report to verify PBM compliance with lowest-net-cost attestations.

This creates a verification loop for the highest-cost formulary decisions: the PBM attests to lowest net cost in the contract; the §6701 report explains formulary placement decisions for the plan's most significant drugs; the fiduciary cross-references the two. Where the rationale for favorable placement reflects manufacturer revenue rather than clinical effectiveness, the fiduciary has a documented basis for corrective action, strengthening the practical utility of both the Department's proposed disclosure framework and the enacted statutory reporting requirements.

## E. Extend Coverage to All Health Plan Service Providers

**The CAA 2026 has already enacted this expansion.** Section 6702 of CAA 2026 expanded the definition of "covered service provider" under ERISA §408(b)(2) to include TPAs and all other entities providing services to group health plans, effective for contracts entered into or renewed after February 3, 2026. The proposed rule remains limited to PBMs. We urge the Department to harmonize the final rule with the enacted statutory standard.

The opacity that harms plan participants is not limited to pharmacy benefit arrangements. Third-party administrators, insurers, and other health plan service providers similarly control data and compensation structures that fiduciaries cannot independently assess without disclosure. A disclosure framework that covers PBMs but not TPAs creates an asymmetry that sophisticated service providers can exploit by shifting problematic compensation structures to unregulated arrangements.

We urge the Department to: expand the final rule's coverage to all health plan service providers in alignment with the enacted CAA 2026 statutory standard; confirm that fiduciary duties under ERISA apply across the entire plan, not only to pharmacy benefits; and cite §6702's expansion of the covered service provider definition as direct authority for the broader rule.

## F. Require Fiduciary Access to Transaction-Level Data

Compensation disclosure alone is insufficient if fiduciaries cannot independently verify the data underlying the disclosures. We urge the Department to require that covered service providers: provide transaction-level access to claims and pricing data across the full transaction chain, including rebate aggregators and affiliated entities; provide access in standardized, machine-readable formats; ensure audit rights cover actual prices paid, not only rebate summaries or estimates; and specify format standards in the final rule rather than leaving this to service provider discretion.

A disclosure right that produces PDF reports or proprietary data exports the fiduciary cannot analyze is not a meaningful right. Standardized, machine-readable formats are a prerequisite for fiduciaries, particularly smaller employers without dedicated actuarial staff, to actually use this data for plan design improvement and cost management.

## G. Clarify That PBMs May Not Contractually Limit Disclosure Accountability

**Evidence from contract analyses supports inclusion of this recommendation.** A review of 30 PBM contracts analyzed by Nautilus Health Institute (Contract X-Ray database, March 31, 2026) found that approximately 14 of 30 contracts contained at least one provision that shifts the consequences of inaccurate or unverifiable disclosures to the plan sponsor. Provisions appeared across five distinct PBMs in independently negotiated contracts, supporting a market-practice characterization. The proposed rule requires disclosure but does not address these contractual mechanisms that make those disclosures structurally unverifiable or legally unenforceable.

Three documented patterns are recommended for the Department's consideration:

**Auditor gag clauses.** In one coalition contract reviewed, the employer's own auditor was contractually required to execute a confidentiality agreement ensuring that "all information reviewed during such audit and all details will be treated as confidential and will not be revealed in any manner or form by or to any third party", including the employer who retained the auditor and the coalition on whose behalf the contract was negotiated. The same structural mechanism, requiring the employer's auditor to conceal manufacturer agreement terms from the

employer, appeared in an independently negotiated contract from an unrelated PBM, with nearly identical language. Two unrelated PBMs using equivalent gag clause language supports a market-practice characterization, not an isolated drafting choice.

**Release-conditioned audit payment.** In a second contract reviewed, payment of any amount identified in a claims or rebate audit was conditioned on the plan sponsor's execution of a formal settlement and release agreement covering the full audit period. This structure means a plan sponsor cannot collect a validated audit finding without first legally releasing all other claims for the same period, converting every validated audit right into a negotiated settlement process.

**Pre-emptive beneficial interest waivers.** A third contract required the plan sponsor to contractually surrender any beneficial interest in manufacturer revenue not specifically allocated by the PBM, meaning the employer pre-emptively waived the right to contest whether the PBM's allocation of manufacturer revenue was accurate or complete. This is not a disclosure gap; it is a contractual surrender of the right to rely on disclosures even if they are inaccurate.

We recommend the Department clarify in the final rule that: PBMs may not contractually require plan sponsors to waive fiduciary claims arising from disclosure inaccuracies; audit findings may not be conditioned on execution of releases covering the same period; and auditors engaged by plan fiduciaries may not be contractually prohibited from reporting their findings to the fiduciary who engaged them. These clarifications would give the proposed disclosure framework genuine enforcement teeth.

## V. Conclusion

We commend the Department for this proposed rule and the transparency it will bring to PBM arrangements. The administrative class exemption appropriately protects fiduciaries who react prudently to discovered non-compliance.

**We urge the Department to extend this protection to fiduciaries who proactively select PBMs with contractual commitments that prevent the problematic practices disclosure is designed to reveal. With the enactment of the CAA 2026, Congress has now codified the standards that disclosure is meant to surface. That strengthens the case that contractual prohibition should be recognized as an alternative path to fiduciary compliance.**

**With the publication of the pension investment safe harbor on March 30, 2026, the Department has confirmed that process-based safe harbors are its active regulatory philosophy across ERISA plan contexts.** The proposal applies that philosophy to PBM procurement, a §404(a) fiduciary act of equal character, and asks the Department to recognize what it is already recognizing in adjacent contexts.

The professional standard of care for PBM contract evaluation is emerging in the market through employer coalitions, benefits advisors, and evidence-based evaluation frameworks. The Department's recognition of proactive selection would align regulatory policy with this emerging standard, empowering fiduciaries with clear guidance on proven compliance approaches.

This approach raises the fiduciary bar, creates appropriate market incentives, aligns with enacted statutory standards, and better serves the interests of plan participants. We appreciate the Department's consideration of these comments and welcome the opportunity to provide additional information.

Respectfully submitted,

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Nautilus Health Institute
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